Pumtech Korea (251970 KS)

Capacity expansion and broader global customer base spur growth

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BUY (M)

Target price	W80,000 (M)
Previous target price	W80,000
Current price (Oct 30)	W64,200
Upside potential	25%

Market cap (Wbn)	796
Shares outstanding	12,400,000
Avg daily T/O (2M, Wbn)	6
Avg daily volume (2M, shrs)	106,579
52-week high/low (won)	71,800 / 32,550
Foreign ownership (%)	13.29%
Dividend yield (%)	0.86%
Major shareholders	Do-hun Lee & others

Stock performance

(%)	1M	3M	12M
Absolute	4.7	38.4	19.8
Relative	23.7	23.2	47.3
Abs (US$)	6.2	49.1	28.1

Maintain BUY and target price of W80,000

We maintain BUY and our target price of W80,000. Since we initiated coverage, the share price has recovered from the low-W60,000 range in early October to around W70,000 recently, reflecting successive upward revisions to analysts' earnings estimates ahead of 3Q26 results. While the recent rebound has somewhat reduced upside potential, we maintain our positive view, as capacity expansions are set to make a meaningful earnings contribution from 4Q26.

We maintain our 3Q26 forecasts of W123.0bn (+26% YoY) for sales and W23.1bn (+51% YoY) for OP, with earnings expected to exceed even the recently raised market expectations. Orders from indie brands have remained strong even after the peak season, likely limiting the impact of the seasonal slowdown in 3Q26. Earnings at subsidiary Bukuk TNC, which has substantial exposure to sun care products, is expected to decline from W30.1bn in 2Q26 to W26.0bn on seasonality. However, we expect capacity additions and growth in the pump segment to more than offset this decline.

Investment highlights: capacity additions start to contribute; customers and products diversify

Capacity expansion is accelerating with the completion of Plant 4, the phased ramp-up of Plant 6, and the acquisition of Plant 7. With utilization remaining high, additional injection molding and assembly capacity should allow orders delayed by supply constraints, along with new orders, to translate progressively into sales.

After becoming Korea's largest cosmetics packaging manufacturer in 2023, the company has continued to strengthen its position, with its market share rising from 20.9% in 2020 to 24.5% in 2025.

The firm's customer base is also expanding beyond domestic indie brands to global multinationals. Shipments of new products and repeat orders from global customers are broadening Pumtech's order portfolio, while the firm's differentiated product development capabilities, including grinder-type, stick-type, and eco-friendly packaging, are helping attract new customers.

Pumtech's proprietary "free molds" reduce upfront costs and development lead times for customers. Using the same mold across multiple customers also improves the efficiency of the company's development spending. As repeat orders accumulate, sales generated from existing molds expand. We estimate that free-mold products will account for 77% of sales in 2026.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	337	372	467	523
OP	48	57	76	88
Net profit, CI	33	34	51	60
P/E (x)	12.7	19.8	15.6	13.3
P/B (x)	1.6	2.3	2.3	2.0
EV/EBITDA (x)	6.1	9.1	8.6	7.5
ROE (%)	13.0	12.3	16.1	16.3

Note: CI = controlling interest; Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Pumtech Korea earnings and forecasts (Wbn, %)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Revenue	**91.7**	**105.4**	**97.7**	**77.1**	**372.0**	**91.8**	**116.8**	**123.0**	**135.0**	**466.6**
Pumtech Korea (pump business)	69.6	79.0	74.9	57.4	280.9	68.1	88.1	97.6	113.1	366.9
Bukuk T&C (tube business)	21.0	26.2	21.8	19.0	88.0	24.0	30.1	26.0	23.0	103.1
Jallon Natural (health functional foods)	2.3	1.9	2.0	1.5	7.7	1.1	0.8	0.6	0.5	3.0
Consolidation adjustments	−1.2	−1.7	−1.0	−0.7	−4.6	−1.4	−2.2	−1.2	−1.6	−6.4
Revenue growth (% YoY)	*19*	*23*	*15*	*-14*	*10*	*0*	*11*	*26*	*75*	*25*
Pump business (% YoY)	*22*	*26*	*16*	*-17*	*11*	*-2*	*12*	*30*	*97*	*31*
Tube business (% YoY)	*17*	*23*	*13*	*-3*	*13*	*14*	*15*	*19*	*21*	*17*
Health functional foods (% YoY)	*-5*	*-25*	*-17*	*-31*	*-19*	*-52*	*-57*	*-70*	*-66*	*-60*
OP	**13.4**	**19.4**	**15.3**	**8.3**	**56.5**	**13.0**	**21.7**	**23.1**	**17.8**	**75.5**
Growth (% YoY)	*31*	*53*	*23*	*-36*	*17*	*-3*	*11*	*51*	*114*	*34*
OPM (%)	*15*	*18*	*16*	*11*	*15*	*14*	*19*	*19*	*13*	*16*
Pumtech Korea (pump business)	113	146	115	63	437	93	154	174	143	564
Bukuk T&C (tube business)	25	49	40	28	143	42	71	65	45	223
Jallon Natural (health functional foods)	-3	0	-1	-7	-11	-6	-8	-8	-10	-32
Consolidation adjustments	-1	-1	-1	-1	-3	0	0	0	0	0

Source: company data, Yuanta Securities

Pumtech Korea: production facilities, capacity, output, and utilization

Plant 1: compact & dropper assembly lines, pump container assembly lines
Plant 2: pump engine & mist assembly lines; injection molding lines
Plant 3: pump-tube & stick assembly lines
Plant 4 (new): post-processing lines (printing/metallization/coating); stick assembly lines; injection molding lines; cleanroom
Plant 5: labeling lines; warehouse
Plant 6 (new): scheduled for completion in 2H26



	2024	2025	2026E
Capacity	652mn units	768mn units	828mn units
Output	531mn units	627mn units	690mn units
Utilization	*81.4%*	*81.6%*	*83.3%*

Note: 2026E capacity and output figures annualize 1H26 figures (2x) without factoring in new plant expansion, and utilization calculated based on these figures
Source: company data, DART, Yuanta Securities

Pumtech Korea: production facilities

Facility	Land	Building area	Investment	Note (as of Jun 30, 2026)
Plant 1 /	6,796m^2	16,543.73m^2	Undisclosed	In operation
Plant 2	3,140m^2	10,607m^2	Land: W10.4bn; building: W8.0bn; machinery: W3.7bn; other: W1.3bn;	In operation since Nov 2019
Plant 3	1,918m^2	5,517.77m^2	Undisclosed	Land and building sold to a related party for W11.183bn on May 6, 2026; subsequently leased back and removed from the list of branches
Plant 4	5,384m^2	18,625m^2	Land: W25.4bn; building: W19.7bn;	Completed in Nov 2025; 100% complete
Plant 5	1,726m^2	4,961.63m^2	W8.7bn	Acquisition completed in Sep 2023; 100% complete
Plant 6	2,994m^2	9,370m^2	Land: W14.6bn; building: W9.4bn; total: W24.0bn	54% complete as of end-Jun 2026; completion scheduled for Oct 2026
Plant 7	3,617m^2	Undisclosed	Land: W19.6bn; construction and equipment costs: undisclosed	W1.9bn spent to date; 10% complete

Source: DART, Yuanta Securities

Sales of major Korean cosmetics packaging manufacturers **(Wbn)**

		2020		2021		2022		2023		2024		2025	
	Company	Sales	Share	Sales	Share	Sales	Share	Sales	Share	Sales	Share	Sales	Share
1	Pumtech	195.2	20.9%	207.0	20.2%	219.6	21.6%	267.9	23.9%	318.5	23.1%	351.6	24.5%
2	Yonwoo	245.7	26.3%	279.7	27.3%	222.9	21.9%	227.8	20.3%	261.5	18.9%	240.0	16.7%
3	Samhwa	90.2	9.7%	105.0	10.3%	135.0	13.3%	151.4	13.5%	189.2	13.7%	172.5	12.0%
4	Cocos Pack	20.0	2.1%	20.4	2.0%	37.4	3.7%	45.9	4.1%	98.2	7.1%	138.2	9.6%
5	Darin	63.5	6.8%	73.6	7.2%	63.4	6.2%	55.2	4.9%	71.8	5.2%	83.5	5.8%
6	TAP Korea	49.6	5.3%	41.1	4.0%	52.5	5.2%	51.0	4.6%	64.1	4.6%	76.0	5.3%
7	Changshin	23.9	2.6%	37.0	3.6%	35.4	3.5%	48.1	4.3%	74.1	5.4%	75.0	5.2%
8	Jangup	33.0	3.5%	43.2	4.2%	35.2	3.5%	50.9	4.5%	70.0	5.1%	74.4	5.2%
9	Taesung	54.8	5.9%	49.9	4.9%	50.9	5.0%	56.9	5.1%	58.6	4.2%	55.2	3.9%
10	Toly Korea	56.0	6.0%	50.0	4.9%	56.0	5.5%	47.1	4.2%	51.0	3.7%	54.6	3.8%
11	IPACK	44.5	4.8%	43.4	4.2%	37.3	3.7%	48.1	4.3%	46.6	3.4%	47.0	3.3%
12	Duco	21.4	2.3%	23.0	2.3%	27.3	2.7%	32.3	2.9%	41.4	3.0%	37.2	2.6%
13	KR	10.3	1.1%	18.3	1.8%	19.6	1.9%	19.5	1.7%	18.1	1.3%	22.0	1.5%
14	Hana	25.5	2.7%	31.6	3.1%	23.6	2.3%	18.5	1.7%	18.2	1.3%	6.6	0.5%
	Total	933.6	100.0%	1,023.2	100.0%	1,016.0	100.0%	1,120.8	100.0%	1,381.2	100.0%	1,433.6	100.0

Source: DART, Yuanta Securities

Pumtech Korea (251970 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**337**	**372**	**467**	**523**	**573**
Cost of sales	262	288	355	396	428
Gross profit	76	84	112	127	145
SG&A	27	27	36	39	42
Operating profit	**48**	**57**	**76**	**88**	**103**
EBITDA	61	70	89	102	117
Non-operating profit	0	-3	15	15	13
Forex gains	2	0	0	0	0
Net interest income	3	2	3	3	4
Equity-method gains	0	0	0	0	0
Other	-5	-6	12	12	9
Net prof before income tax	48	54	90	103	116
Income tax	10	14	21	23	25
Net profit from continuing ops	38	40	69	80	91
Net profit from discontinued ops	0	0	0	0	0
Net profit	38	40	69	80	91
NP for controlling interest	**33**	**34**	**51**	**60**	**69**
Total comprehensive income	38	40	69	80	91
Total comprehensive income, CI	32	35	60	69	78

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**196**	**214**	**233**	**259**	**293**
Cash & cash equivalents	32	44	30	37	53
Accounts receivables & other	48	47	58	65	72
Inventory	20	17	22	24	26
Non-current assets	211	242	299	335	372
Tangible assets	179	213	270	307	344
Investment in affiliates	0	0	0	0	0
Other investment assets	4	4	5	6	6
Total assets	**408**	**455**	**532**	**595**	**665**
Current liabilities	77	81	93	82	66
Accounts payable & other	46	41	52	49	46
ST financial liabilities	21	29	29	19	9
Liquid LT liabilities	1	1	1	1	1
Non-current liabilities	10	19	20	20	20
LT financial liabilities	7	18	18	18	18
Debentures	0	0	0	0	0
Total liabilities	**87**	**100**	**113**	**101**	**86**
Equity, controlling interest	265	295	340	395	458
Paid-in capital	6	6	6	6	6
Capital surplus	57	56	56	56	56
Retained earnings	203	232	278	332	396
Equity, non-controlling interest	55	61	79	99	121
Total equity	**321**	**355**	**419**	**494**	**579**
Net debt	**-96**	**-100**	**-103**	**-129**	**-164**
Total debt	30	49	49	39	29

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**58**	**61**	**80**	**86**	**98**
Net profit	38	40	69	80	91
Depreciation & amortization	12	13	13	13	13
Forex gains	-1	0	0	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-2	-3	-13	-19	-18
Other	11	11	11	11	11
Investing cash flow	**-55**	**-62**	**-90**	**-63**	**-62**
Investment	-20	5	-1	-1	0
Increase in tangible assets	-49	-48	-70	-50	-50
Decrease in tangible assets	0	1	0	0	0
Other	14	-19	-19	-12	-11
Financing cash flow	**3**	**12**	**-8**	**-18**	**-18**
ST financial liabilities	3	8	0	-10	-10
Debenture/LT financial liabilities	5	11	0	0	0
Equity	0	0	0	0	0
Cash dividend	-5	-5	-6	-6	-6
Other cash flow	-1	-1	-2	-2	-2
Consolidation adj and other	0	0	4	1	-2
Increase in cash & equivalents	**6**	**11**	**-14**	**7**	**16**
Beginning cash & equivalents	26	32	44	30	37
Ending cash & equivalents	32	44	30	37	53
NOPLAT	48	57	**76**	**88**	**103**
FCF	**9**	**14**	**10**	**36**	**48**

Valuation

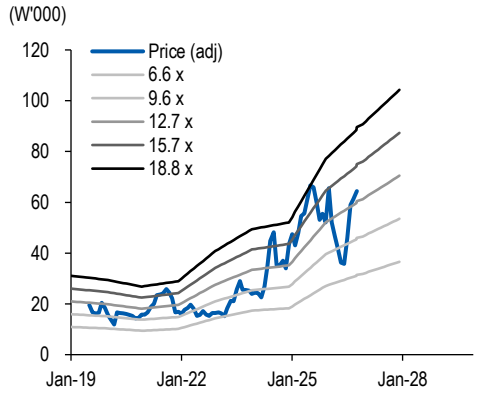
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,637	2,778	4,114	4,837	5,564
BPS (won)	21,409	23,753	27,432	31,835	36,964
EBITDA/shr (won)	4,956	5,680	7,211	8,219	9,429
SPS (won)	27,216	29,997	37,629	42,177	46,210
DPS (won)	420	450	450	450	450
P/E (x)	**12.7**	**19.8**	**15.6**	**13.3**	**11.5**
P/B (x)	**1.6**	**2.3**	**2.3**	**2.0**	**1.7**
EV/EBITDA (x)	**6.1**	**9.1**	**8.6**	**7.5**	**6.4**
P/S (x)	**1.2**	**1.8**	**1.7**	**1.5**	**1.4**

Key financial data

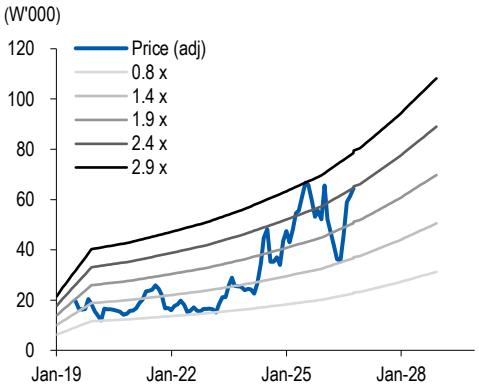
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**18.6**	**10.2**	**25.4**	**12.1**	**9.6**
Operating profit (%YoY)	**37.1**	**16.8**	**33.6**	**16.6**	**17.0**
Net profit, CI (%YoY)	**21.2**	**5.3**	**48.1**	**17.6**	**15.0**
Gross margin (%)	22.5	22.6	23.9	24.3	25.3
Operating margin (%)	**14.3**	**15.2**	**16.2**	**16.8**	**18.0**
Net margin, CI (%)	9.7	9.3	10.9	11.5	12.0
EBITDA margin (%)	18.2	18.9	19.2	19.5	20.4
ROIC (%)	20.6	19.5	22.2	21.7	22.2
ROA (%)	8.6	8.0	10.3	10.6	11.0
ROE (%)	**13.0**	**12.3**	**16.1**	**16.3**	**16.2**
Debt-to-equity (%)	27.1	28.1	26.9	20.5	14.9
Net debt-to-equity (%)	-36.2	-33.8	-30.2	-32.7	-35.9
OP/financing cost (x)	55.6	65.4	70.7	91.7	138.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

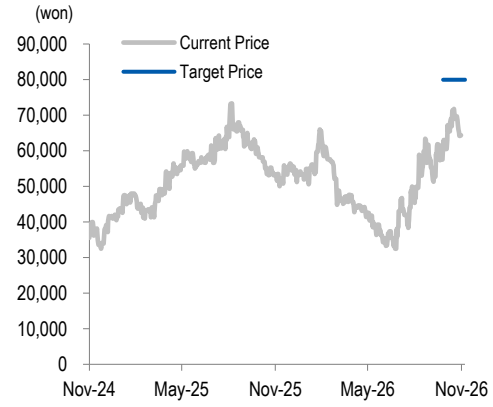
P/E band chart



P/B band chart



Pumtech Korea (251970 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	80,000	1 yr		
2026/09/28	BUY	80,000	1 yr		
2025/06/11	After 1yr		1 yr		
2024/06/11	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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